

February CPI: preview and analysis

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08:24 March 24 2026

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Predates the Middle East crisis but still an important update on core inflation



See  **February: preview and analysis (PDF 716KB)**

We estimate a 0.1% rise in the February CPI holding the annual pace flat at 3.8%yr, the third month in a row at this pace.

Our February Trimmed Mean estimate is 0.3% (0.34%) holding the annual pace at 3.4%yr. The six-month annualised pace lifts from 3.4%yr to 3.6%yr.

Our current estimate for the March quarter CPI is 1.2%qtr lifting the annual pace from 3.6%yr to 3.9%yr.

Westpac's preliminary estimate for the March quarter Trimmed Mean is 0.9%qtr (0.88%) with the annual pace lifting from 3.4%yr to 3.5%yr.

The conflict in the Middle East had Westpac revise our forecasts with headline inflation now peaking at 4.6%yr in the June quarter before easing back to 3.9%yr by end 2026.

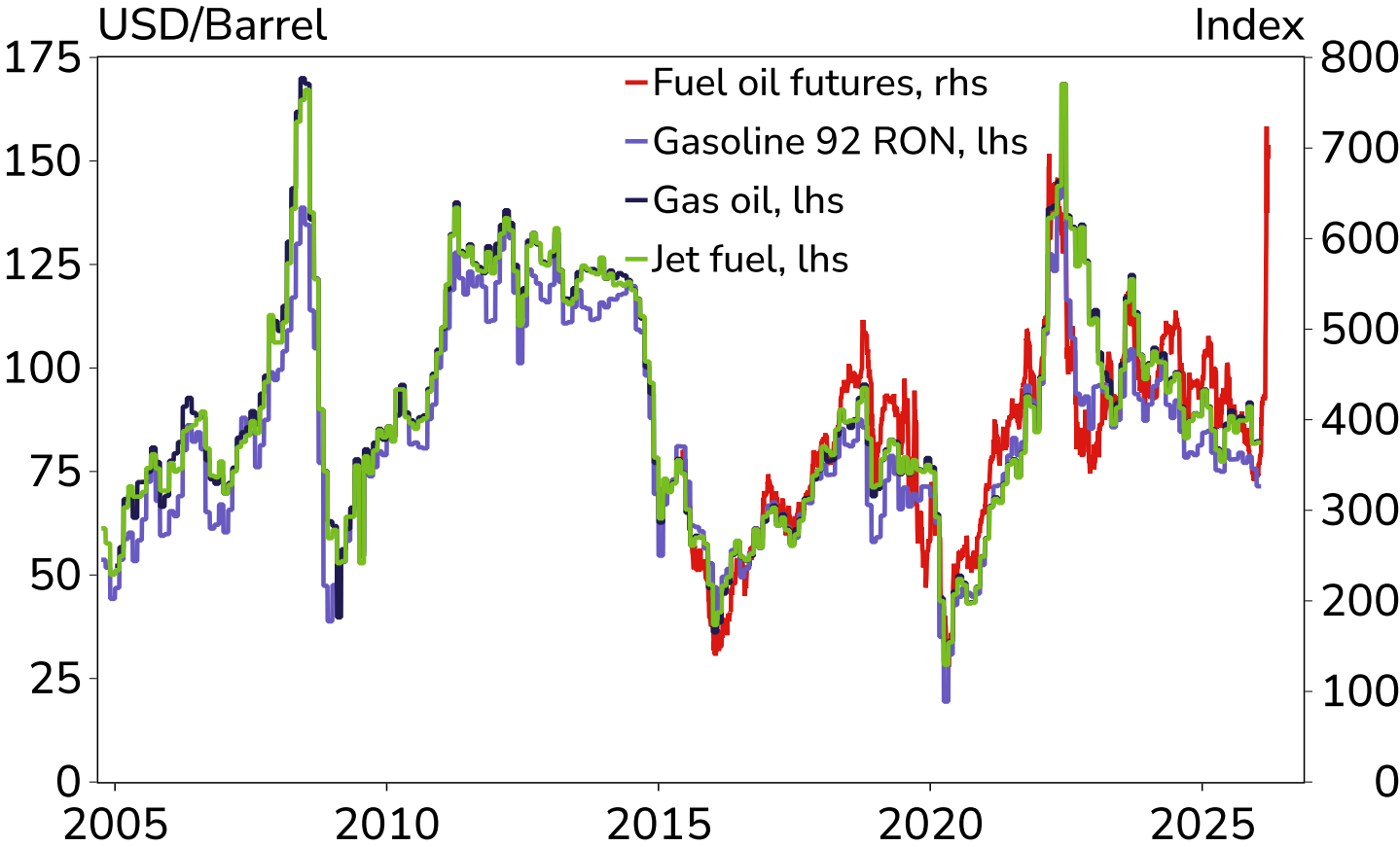
Core inflation is forecast to lift to 3.6%yr at the June quarter 2026 and not returning to 3.4%yr till end 2026.

Our forecasts are based on the scenario with the Strait of Hormuz closed for one month. There is a clear risk to this scenario as the conflict continues.

The ABS is currently publishing quarterly underlying inflation measures in a manner consistent with the history of price collection frequency. We have replicated this process and find it could shave as much as 0.1ppt off our current TM estimate for the March quarter.

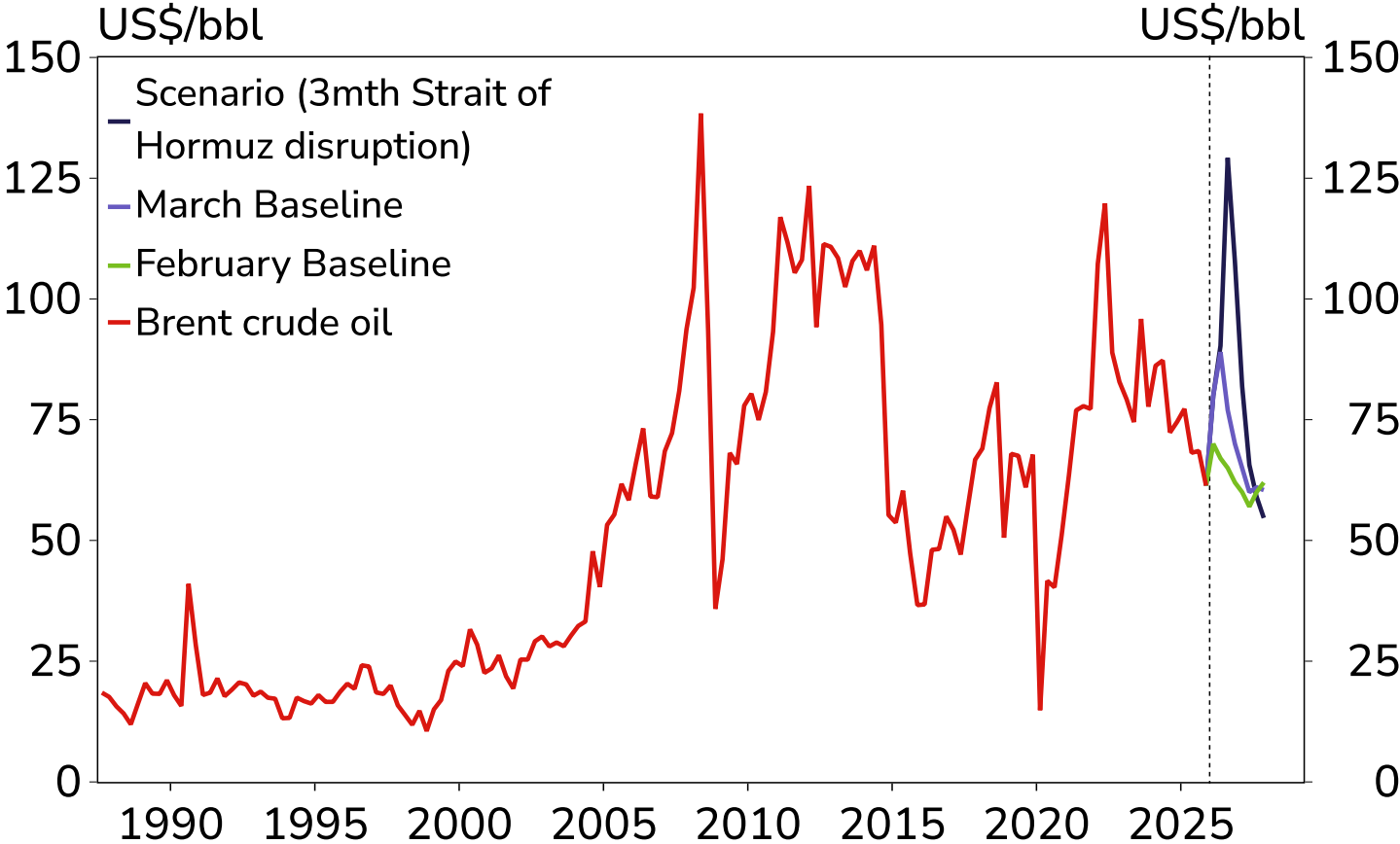
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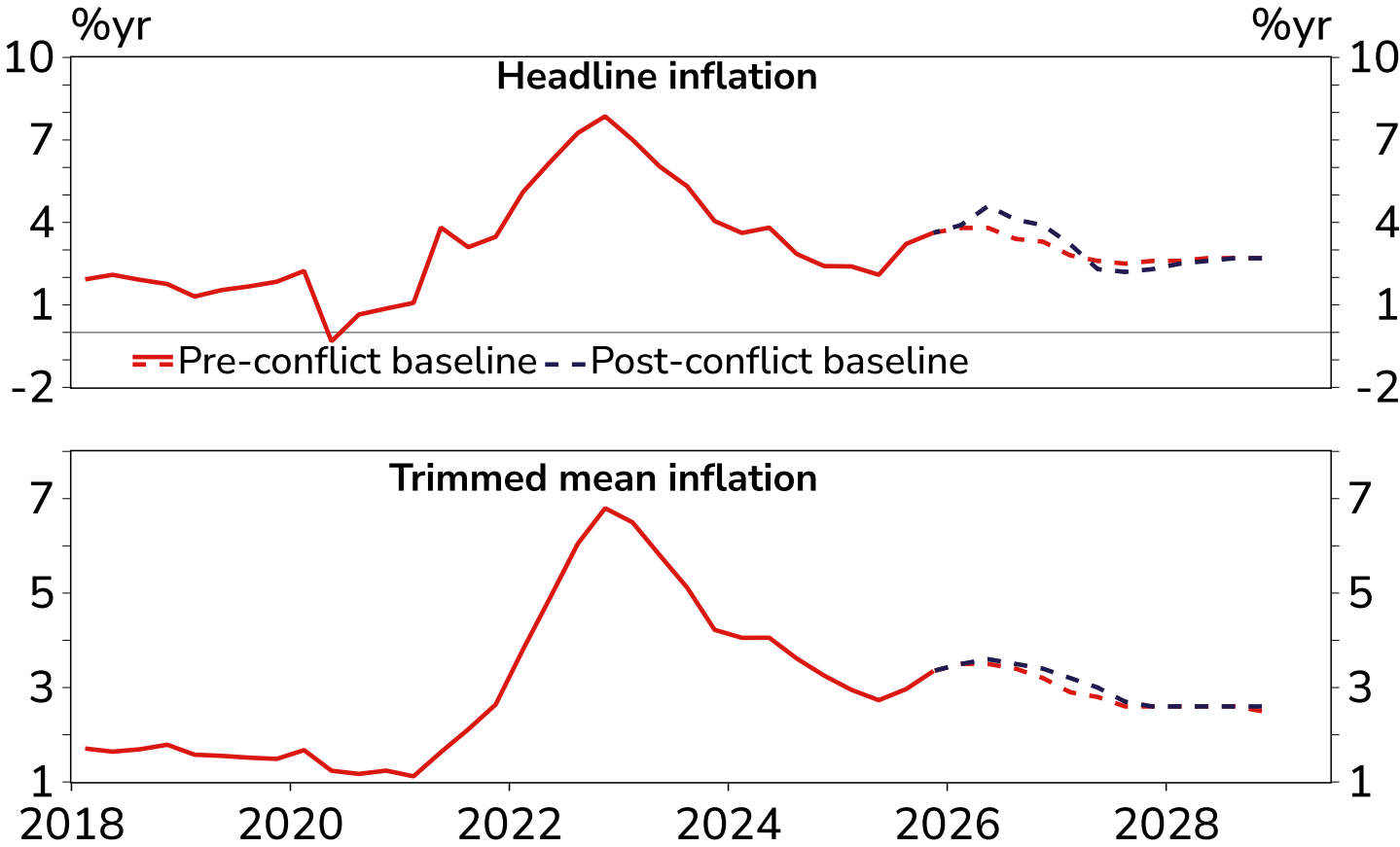
Source: SGX, OPEC, Macrobond, Westpac Economics

Oil price scenarios



Source: EIA, Macrobond, Westpac Economics

Middle East conflict forecast revisions



Source: ABS, Macrobond, Westpac Economics

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